to guide him. Some of the shareholders of the Union Bank favoured an amalgamation but such an extreme step was not considered necessary. Sorabji's restructuring of the bank and streamlining its management ultimately saved the day. He got rid of the Europeans and Indianized the entire management since this 'faith in Indian ability was cardinal to his beliefs and he would brook no exception.'[7] He also managed to recover as large a portion of the bad debts as possible. It is pertinent to note that the entire operation was the result of Sorabji's initiative and it not only saved an ailing bank but added greatly to Sorabji's and the Central Bank's reputation. The Central Bank continued to manage the Union Bank for the next twenty-three years. But a far greater test was in store, one in which all of Sorabji's talent and courage would be required, and which is still considered a watershed in the Central Bank's history, and a first for Indian banking as well.

Amalgamation of the Tata Industrial Bank

A much bigger challenge came when the TIB amalgamated with the Central Bank. Set up in 1917 during the First World War with an authorized capital of ₹12 crores and the avowed objective of stimulating national industry, it boasted a number of luminaries as its Directors: R.D. Tata, Sir Sassoon J. David, and F.E. Dinshaw, among others. Its management was wholly European: Sorabji's example had not inspired others to replicate his success. The business public had great expectations of the TIB when it was first launched. But the termination of war prosperity and deferred hopes of high dividends 'induced sobriety, if not positive sickness, in the hearts of the shareholders.'[8]

In 1923, the industrial holdings of the TIB showed depreciation, a fact attributable to the collapse in the post-war boom. There was also a loss on sterling bills acquired in times of low exchange rates and a sum of ₹11 lakhs had to be set aside out of profits to offset these losses. The TIB was also plagued by a clique of shareholders who constantly harassed the Directors. The climax was reached on May 1, 1923, when disorderly scenes at a shareholders' meeting culminated in chaos. Since profits from ordinary banking business were moderately good and consistent, the shareholders coerced the Directors to promise not to make any further investments in